Outlook

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What happens just inside the affordability cut-off? - 2025 control review

Morning,

I need help with something that sounds simple but probably is not.

Credit Risk wants to study borrowers approved close to affordability limits rather than compare only approvals and declines. Please start with the decision we need to make, then show whether the available evidence is strong enough to support it.

The questions I would ask in the room are:
1. What would we expect to see if verified expenses or income quality create the main uncertainty?
2. What evidence would instead support that product and term explain the outcome?
3. How do we rule out that thin discretionary income predicts later stress?

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use September 2025 as the new evidence point rather than recycling the earlier conclusion. Please work towards whether policy buffers, verification or monitoring should change. A useful output would be a short decision pack with no more than five slides and an attached evidence table.

Use the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations. One caution: The analysis can observe recorded affordability inputs, not every household obligation or later income shock.

Regards